

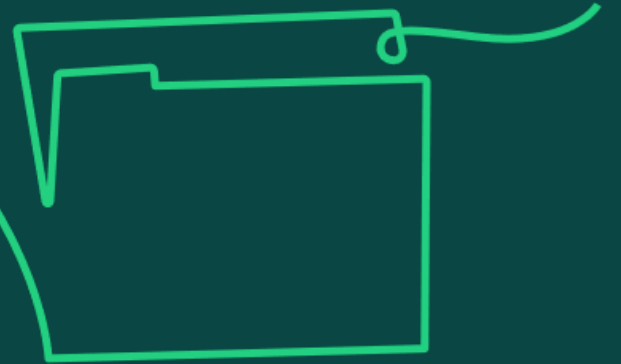
| Version # | Date      | Details of change             | Slide no. |
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| V2        | June 2024 | Copyright permissions updated | 5,6,7     |
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# Benefits management

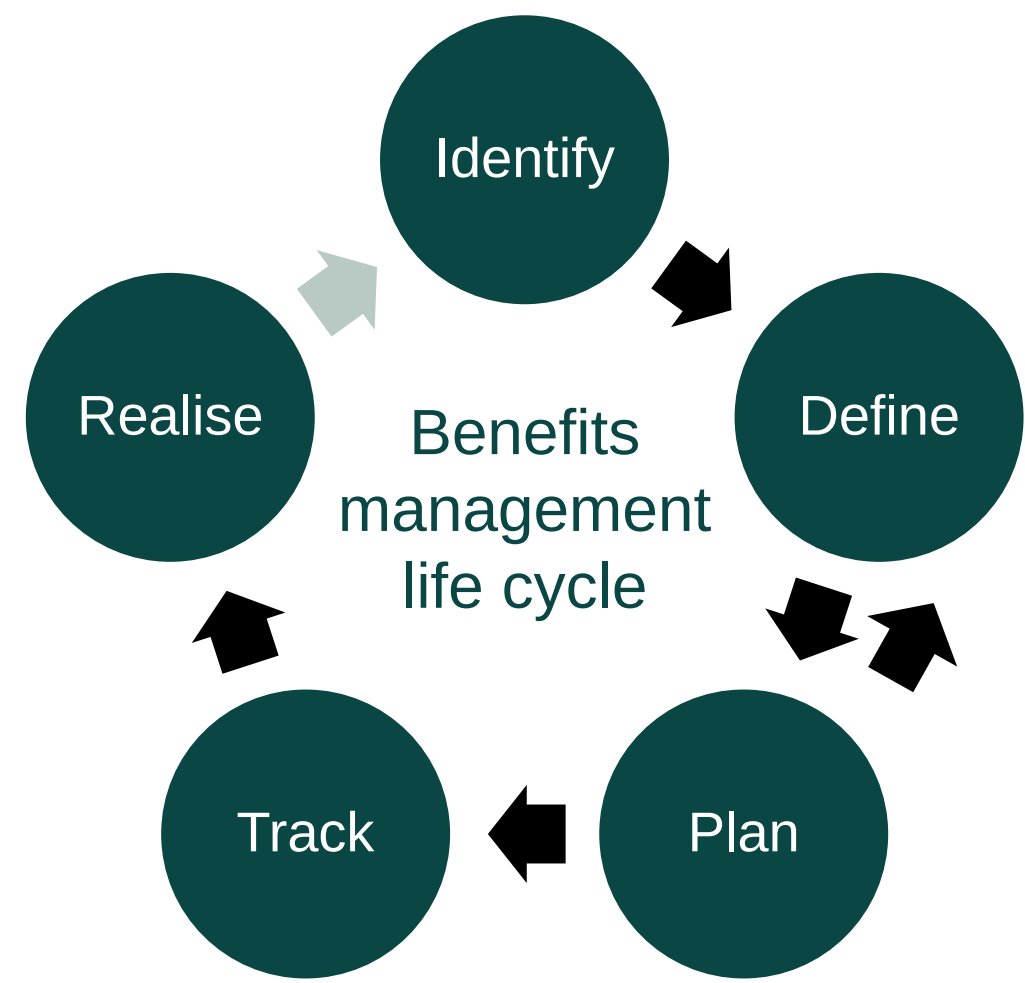
## Learning objective:

9. Understand benefits management as monitoring of benefits realisation throughout a project.

9a) Understand what is meant by benefits management (including identification, definition, planning, tracking and realisation).



# Benefits management life cycle: stages



# Five stages of benefits management

## Identification

- If benefits are not identified, then they will not be managed and return on investment could be missed. Requirements are captured from sources such as the business case, and stakeholders.

## Definition

- A benefits management plan will define how the benefits will be managed through transition into operational use and the roles and responsibilities involved. It will also define how the benefits should be measured and the regularity of the management overview. Each benefit (and dis-benefit) should be documented in terms of priority, interdependencies, value, timescales and ownership.

## Planning

- This involves capturing baseline measurements, agreeing targets, setting the timeline and milestones for realising benefits, and identifying their dependencies on project outputs. This allows the impact of any changes during the deployment phase to be assessed on the planned benefits.

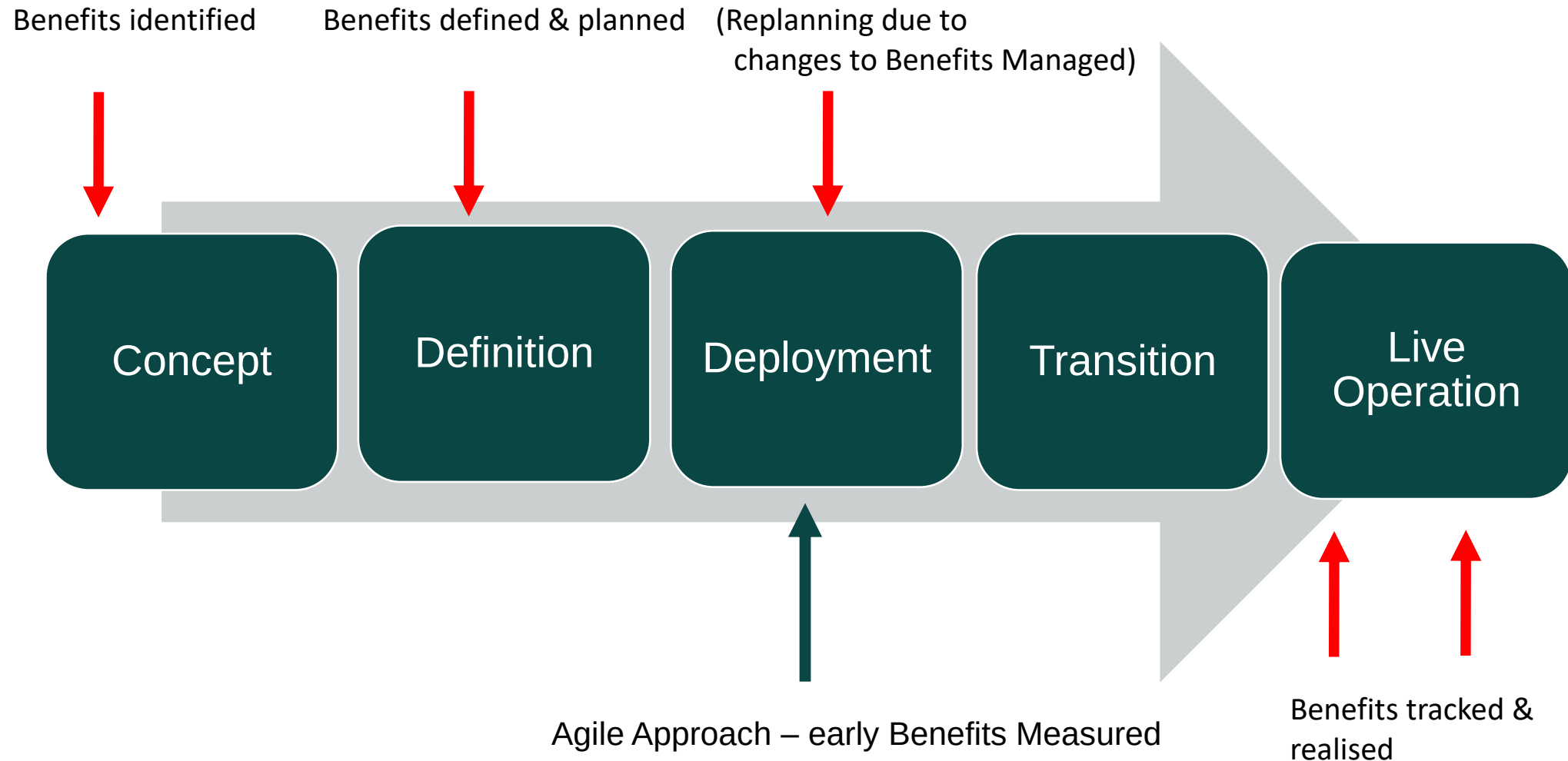
## Tracking

- Tracking benefits throughout the project deployment phase will inform when changes are needed to the scope or timescale and ensure outputs are still supporting said benefits. Agreement between the project manager and the sponsor on which benefits are to be tracked should be made early in the project life cycle, setting baseline measures against which to monitor progress.

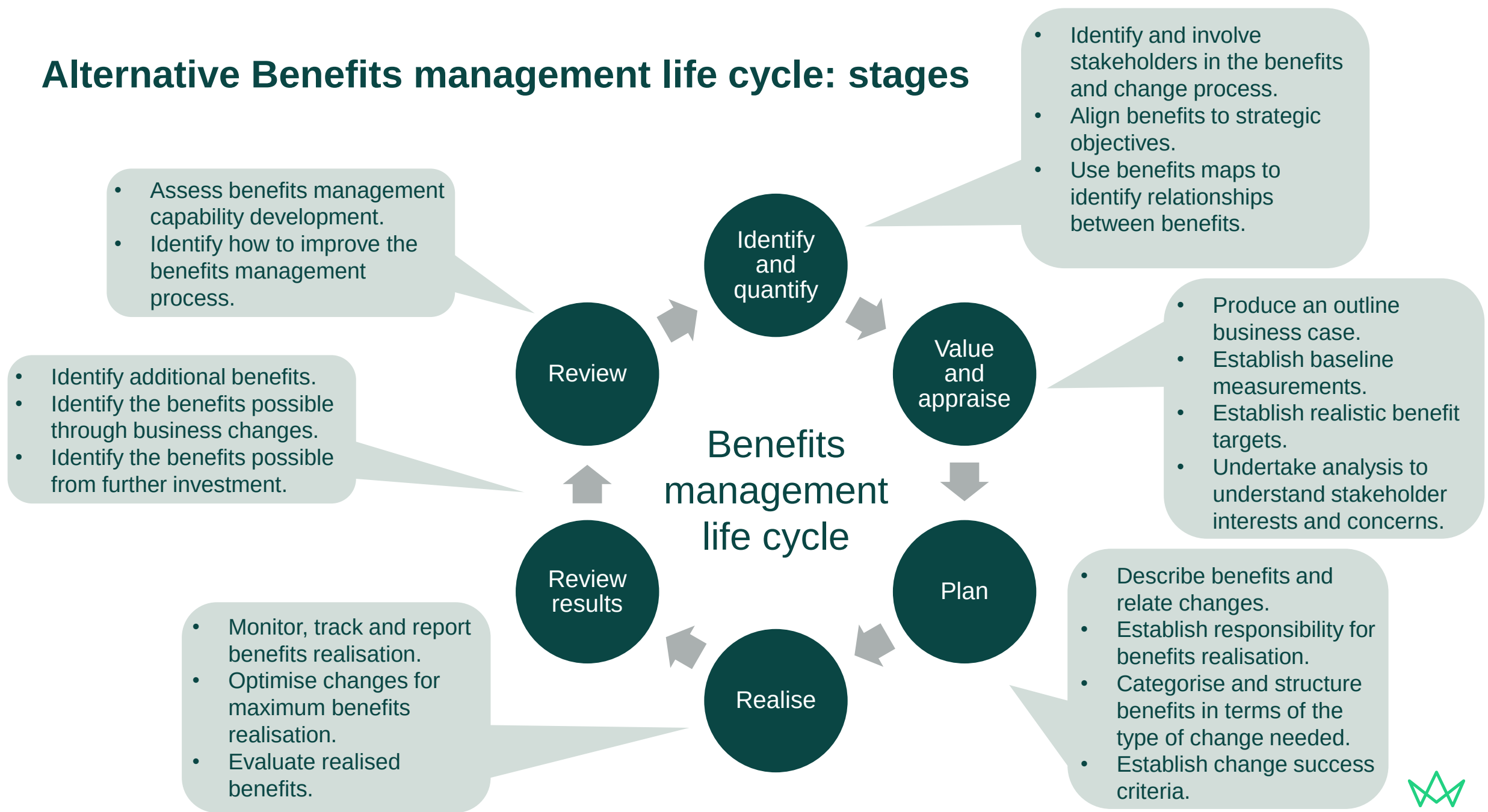
## Realisation

- Realisation of benefits comes when the project outputs are embedded and the operation changes for the better. A change manager or nominated representative may be put in place to track the realisation. The bulk of benefits may only be realised after the project is completed and therefore long-term actions and monitoring may be needed for continued realisation.

# Timing of Benefits Management



# Alternative Benefits management life cycle: stages



# Benefits management life cycle: other considerations

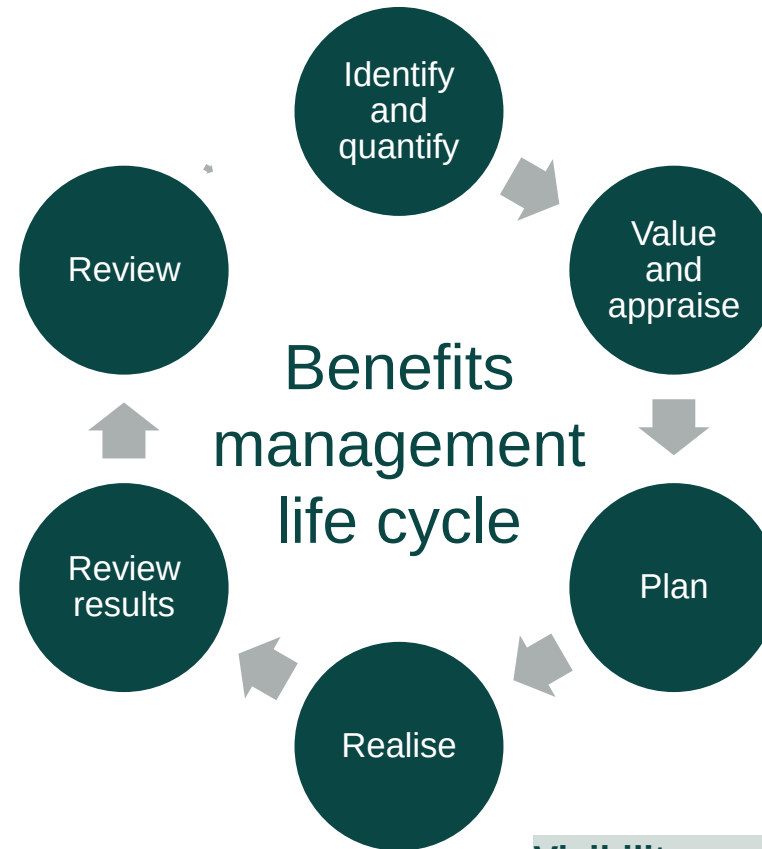
## A transformative impact

The introduction of benefits into an organisation can be regarded as a transformational change in its own right. To be effective, the culture and behaviours of an organisation must support internal and external collaboration. Open and frank discussion around benefits and solutions must be accommodated at all levels of the organisation.

All stakeholders have a role to play in achieving successful change outcomes. Benefits management activities help bring stakeholders closer to the reasons for change, options for change and the development of the required solutions

## Ownership

Having sponsorship for benefits management at board level helps with adoption across the business. It's essential that the sponsor of the programme understands that they are accountable for realising the benefits in the business case. It is also important to get the affected parts of the business involved in ensuring the necessary changes happen.



## Benefits framework (optional)

This is a portfolio level document used to support the management of benefits across multiple projects and programmes. It sets the standards for benefits definition and management including:

- benefits mapping
- measures rules and guidelines
- valuation methods
- evaluation
- categorisation

## Benefits management capability

Benefits management is best implemented and developed as an organisational capability. A capability improvement approach might include:

- benchmarking against other similar organisations
- benefits capability assessments (for example, P3MS maturity assessment)
- benefits capability improvement planning
- networking and knowledge sharing facilities
- training and benefits tool support

## Visibility

Introducing benefits management to an organisation increases the visibility of failures as well as successes, so there can be an initial reluctance to embrace it across the organisation. However, the benefits of having a shared vision, shared objectives and everyone understanding their role in achieving them outweighs the risk.



# Benefits management life cycle: tools

## Post-investment report

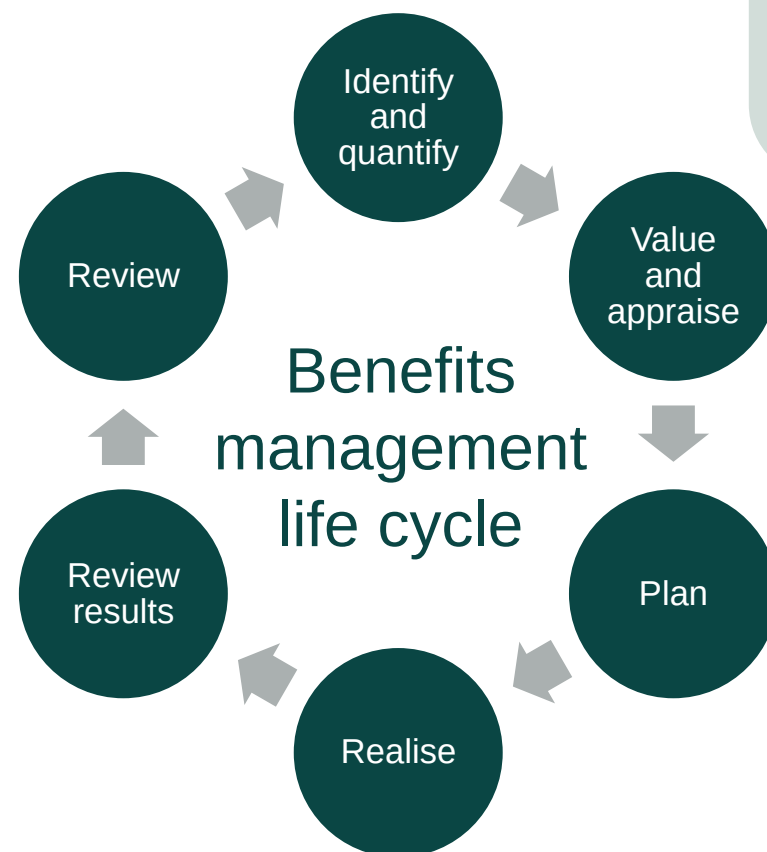
An initiative level report that details the benefits realisation performance:

- benefit realised - actual versus forecast
- effectiveness of selected measures
- business case review
- baseline management
- lessons learned

## Benefits dashboard

A dashboard established for reporting benefit realisation performance. It can include:

- unique identifier
- benefit title
- risk RAG status
- forecast value
- actual value of benefits realised
- enabling change KPIs



## Benefits management strategy

An organisational level document that sets out the policy, approach, methods and processes for benefits management. It can include benefit:

- identification schema
- type definitions
- categories
- mapping techniques
- responsibilities
- definitions
- processes

## Benefits profiles

Each benefit and disbenefit is characterised in a benefits profile. For each, the data includes:

- unique identifier
- title
- description
- owner
- realisation timeline
- measures
- risk

## Benefits realisation plan

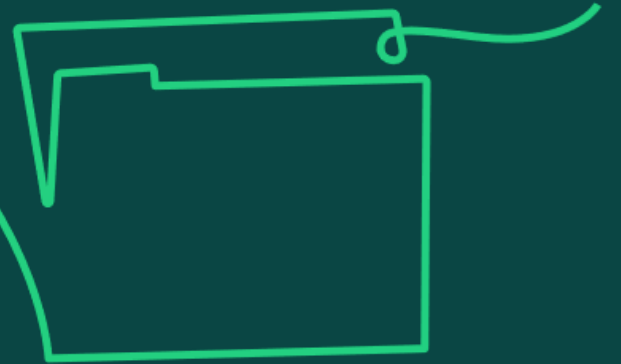
A document that details the benefits and the arrangements made to evidence their realisation. It can include:

- benefits realisation schedule
- resource management
- benefit risk management
- reporting
- the enabling changes on which the benefits depend
- the benefits measures along with their target and forecast values

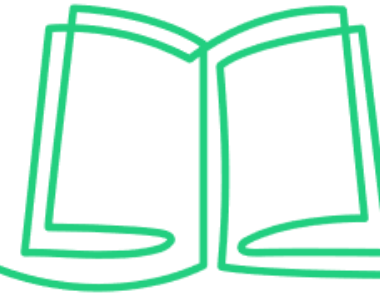




9b) Understand the importance of aligning benefits with strategic objectives and ways in which the benefits of a project can be communicated to stakeholders.



# Align benefits with strategic objectives



## Business case

- Benefits should be defined within the business case for each project or programme, detailing how the contribution of benefits will aim to achieve the operational, organisational or business strategy.
- The accountability of benefits realisation sits with the sponsor but will not be known until after transition into to the 'business-as-usual' phase.

## Benefits mapping

- Benefits should be strategically aligned to investment decisions taken.
- All projects are designed to bring benefits to an investing organisation.
- Benefits have a tangible value usually expressed in monetary terms to justify the investment.

## Benefits identification and measurement

- Benefits management involves identifying and agreeing the benefits and how they will be measured, monitored and managed over the course of the project and into 'business-as-usual' phase.
- This helps to assess and track the impact of programme or project benefits on business performance across the organisation.
- End benefits should equate to achieving a given strategic objective; intermediate benefits are steps towards achieving these.



# Communicate the benefits of a project to stakeholders

Benefits are quantifiable and measurable improvements resulting from the completion of deliverables that are accepted, utilised and perceived as positive by stakeholders.

End benefits will be known following transition into use. Therefore, these need to be communicated to stakeholders by the project sponsor.

It is important that benefits and ways in which these will be measured, monitored and managed throughout the project are agreed with stakeholders early on.

Stakeholders should be consulted to understand how benefits should be attributed within the investment appraisal and business case, and how they should be mapped to organisational strategic drivers.

Reporting on the achievement of intermediate benefits will demonstrate progress towards the end benefits.

Benefits reviews can be held some time following transition to demonstrate to stakeholders how the benefits identified within the business case have been achieved.

Audits facilitate an independent review of how the project or programme has achieved the intended benefits. This independent assessment of compliance can demonstrate how well the benefits achieved align with the original business case objectives.



*Photo credit: Israel Palacio*